Snapnet

SALES TARGET ATTAINMENT POLICY

This policy is a guide to all sales executives on the expectations of the company with respect to sales targets and the period they are expected to attain them. It also enumerates the terms and conditions that guide the retention of a sales executive in the organization.

POLICY OBJECTIVES

This policy will ensure symmetry in the yardstick used for performance evaluation of all sales executives (newly hired and old staff).

SCOPE OF POLICY

This policy will apply to new hires as well as old hires (employees) of the organization.

GUIDELINES FOR NEW HIRES

A new hire shall be defined as a staff who has been contractually engaged by the organization and is on the mandatory 6-month probationary period.

The performance during the probationary period would be measured by level of attainment of revenue and non-revenue-based targets.

Evaluation would be on a quarterly basis; at the 3-month, and 6-month milestones.

MONTH 3 (Q1) EVALUATION – At the 3-month milestone, new hires are expected to attain 60% of their non-revenue target and 40% of their revenue target. They are expected to establish relationships with clients and create viable pipelines that would yield deals within the next quarter.

MONTH 6 (Q2) EVALUATION – At the 6-month milestone, new hires are expected to attain 50% of their half year revenue target. At 6-month milestone, the new staff is expected to meet 60% of their non-revenue target.

A new hire who has met this target will have their appointment confirmed.

SANCTION FOR NON-ATTAINMENT OF TARGET AT THE 6-MONTH MILESTONE

As a new hire, 6 months is the period of probation. Non-attainment of the target will attract the following sanctions:

1. The new hire will not have their appointment confirmed by the organization.

2. The new hire shall receive a notice of non-attainment and be placed on a Performance Improvement Plan for 3 months.

3. The staff would also be expected to meet 60% of the half year revenue target and 70% of non-revenue target by end of Month 9.

PLACEMENT ON PIP AFTER 6-MONTH EVALUATION

If the new hire is unable to meet their target at half year (end of Q2 or by the 6-month mark), and was placed on PIP, there would be 30-day check-ins where the staff would give updates on their progress made each month.

If they meet the target set, by or before the expiration of the PIP tenor, there would be justification to end the PIP and confirm the staff.

If they meet the target set by the close of Q3 (9-month mark), they would be taken off the PIP and have their appointment confirmed.

MONTH 9 (Q3) EVALUATION

New hires who were confirmed after the probationary period, typically after month 6, but were unable to meet their Q3 target would receive a notification of non-attainment.

NON-ATTAINMENT OF TARGET AT THE 9-MONTH MILESTONE

Where the new hire was placed on PIP after month 3 and is unable to meet 100% of the target set for the PIP period at the end of month 9; the following shall apply:

a. Where they met 50% of the target set at PIP, a further extension on PIP for 3months would be given to them.

b. Where they met less than 50% of the target set at PIP with no viable traction in the pipeline, the staff may be disengaged. This will be determined by management discretion.

MONTH 12 (Q4) EVALUATION.

i. Where a new staff who was placed on PIP after Q1,(month 3), and was unable to meet 100% of the target set at the 6-month and 9month marks, causing a further extension of the PIP for any length of days; the staff will be expected to meet 80% of their half year, month-6, (Q2), revenue and non-revenue targets by the end of month 12.

ii. Where the new staff referred to in (i) above is unable to meet this target, the staff may be disengaged. This is subject to management discretion.

iii. Where a confirmed new staff was issued a notification of non-attainment by end of month 9; at the end of month 12, the staff would be placed on PIP if their target attainment status is less than 50% of their year-to-date revenue and non-revenue targets.

SANCTION FOR NON-ATTAINMENT OF TARGET AT MONTH 12

i. New hires who are unable to attain 100% of the targets set during PIP for at 12month mark may be disengagement.

ii. New hires who were confirmed but placed on PIP after month 12, shall have 30-day check-ins through the PIP period to provide the support they need to attain their targets.

GUIDELINES FOR OLD STAFF

An old staff shall be defined as a staff who has been in the employ of the organization for at least 6months and has had their appointment confirmed.
The staff will be evaluated on a quarterly basis in line with the organization's quarterly appraisal pattern.

Old staff will be required to attain 40% of their revenue target and 60% of their non-revenue target each quarter.

MONTH 3 (Q1) EVALUATION – At the 3month milestone, old staff who are yet to attain 40% of their Q1 revenue target and 60% of their Q1 non-revenue target shall receive a notification of non-attainment.

MONTH 6 (Q2) EVALUATION – At the 6-month milestone, old staff who have failed to attain 50% of their half year revenue target and 60% of their half year non-revenue target shall be placed on Performance Improvement Plan (PIP) for 90days.

MONTH 9 (Q3) EVALUATION – Old staff who were placed on PIP after Q2 (month 6), shall have their performance from year to date reviewed in Q3 thus:

0% to 25% attainment of year-to-date revenue and non-revenue targets shall be presented to management for deliberation and decision.

26% - 40% attainment of year-to-date revenue and non-revenue targets shall have the PIP extended by an additional 90days.

41% - 50% attainment of year-to-date revenue and non-revenue targets shall receive a letter of encouragement to spur them on.

51% and above attainment of year-to-date revenue and non-revenue targets shall receive a letter of commendation.

MONTH 12 (Q4) EVALUATION.

Old staff who received an extension of PIP at the 9-month (Q3) mark shall have their year-to-date performance reviewed by month 12 (Q4) to determine course of action.

This policy is subject to review from time to time as required and at the discretion of Management of Snapnet.

Human Resources (October 2023)